

Customer Shopping Behavior Analysis

1. Project Overview

This project analyzes customer shopping behavior using transactional data from 3,900 purchases across various product categories. The goal is to uncover insights into spending patterns, customer segments, product preferences, and subscription behavior to guide strategic business decisions.

2. Dataset Summary

- Rows: 3,900
- Columns: 18
- Key Features:
 - Customer demographics (Age, Gender, Location, Subscription Status)
 - Purchase details (Item Purchased, Category, Purchase Amount, Season, Size, Color)
 - Shopping behavior (Discount Applied, Promo Code Used, Previous Purchases, Frequency of Purchases, Review Rating, Shipping Type)
- Missing Data: 37 values in Review Rating column

3. Exploratory Data Analysis using Python

We began with data preparation and cleaning in Python:

- **Data Loading:** Imported the dataset using `pandas`.
- **Initial Exploration:** Used `df.info()` to check structure and `.describe()` for summary statistics.

```
df.describe(include="all")
```

	Customer ID	Age	Gender	Item Purchased	Category	Purchase Amount (USD)	Location	Size	Color	Season	Review Rating	Subscription Status	Shipping Type	Discount Applied
count	3900.000000	3900.000000	3900	3900	3900	3900.000000	3900	3900	3900	3900	3863.000000	3900	3900	3900
unique	NaN	NaN	2	25	4	NaN	50	4	25	4	NaN	2	6	39
top	NaN	NaN	Male	Blouse	Clothing	NaN	Montana	M	Olive	Spring	NaN	No	Free Shipping	22
freq	NaN	NaN	2652	171	1737	NaN	96	1755	177	999	NaN	2847	675	22
mean	1950.500000	44.068462	NaN	NaN	NaN	59.764359	NaN	NaN	NaN	NaN	3.750065	NaN	NaN	NaN
std	1125.977353	15.207589	NaN	NaN	NaN	23.685392	NaN	NaN	NaN	NaN	0.716983	NaN	NaN	NaN
min	1.000000	18.000000	NaN	NaN	NaN	20.000000	NaN	NaN	NaN	NaN	2.500000	NaN	NaN	NaN
25%	975.750000	31.000000	NaN	NaN	NaN	39.000000	NaN	NaN	NaN	NaN	3.100000	NaN	NaN	NaN
50%	1950.500000	44.000000	NaN	NaN	NaN	60.000000	NaN	NaN	NaN	NaN	3.800000	NaN	NaN	NaN
75%	2925.250000	57.000000	NaN	NaN	NaN	81.000000	NaN	NaN	NaN	NaN	4.400000	NaN	NaN	NaN
max	3900.000000	70.000000	NaN	NaN	NaN	100.000000	NaN	NaN	NaN	NaN	5.000000	NaN	NaN	NaN

Discount Applied	Promo Code Used	Previous Purchases	Payment Method	Frequency of Purchases
3900	3900	3900.000000	3900	3900
2	2	NaN	6	7
No	No	NaN	PayPal	Every 3 Months
2223	2223	NaN	677	584
NaN	NaN	25.351538	NaN	NaN
NaN	NaN	14.447125	NaN	NaN
NaN	NaN	1.000000	NaN	NaN
NaN	NaN	13.000000	NaN	NaN
NaN	NaN	25.000000	NaN	NaN
NaN	NaN	38.000000	NaN	NaN
NaN	NaN	50.000000	NaN	NaN

- **Missing Data Handling:** Checked for null values and imputed missing values in the `Review Rating` column using the median rating of each product category.
- **Column Standardization:** Renamed columns to **snake case** for better readability and documentation.
- **Feature Engineering:**
 - Created `age_group` column by binning customer ages.
 - Created `purchase_frequency_days` column from purchase data.
- **Data Consistency Check:** Verified if `discount_applied` and `promo_code_used` were redundant; dropped `promo_code_used`.
- **Database Integration:** Connected Python script to PostgreSQL and loaded the cleaned DataFrame into the database for SQL analysis.

4. Data Analysis using SQL (Business Transactions)

We performed structured analysis in PostgreSQL to answer key business questions:

1. **Revenue by Gender** – Compared total revenue generated by male vs. female customers.

Query Query History

```
1 --Q1. What is the total Revenue Generated by Male Vs Female Customers?
2
3 select gender, SUM(purchase_amount) as revenue from customer
4 group by gender
```

Data Output Messages Notifications

	gender text	revenue numeric
1	Female	75191
2	Male	157890

2. **High-Spending Discount Users** – Identified customers who used discounts but still spent above the average purchase amount.

```
7 select customer_id, purchase_amount
8 from customer
9 where lower(discount_applied) = 'yes' and purchase_amount >= (select AVG(purchase_amount) from customer)
10
11 --Q2. Which are the top 5 products with the highest revenue rating?
```

Data Output Messages Notifications

	customer_id bigint	purchase_amount bigint
1	2	64
2	3	73
3	4	90
4	7	85
5	9	97
6	12	68
7	13	72
8	16	81
9	20	90
10	22	62
11	24	88

Total rows: 839 of 839

Query complete 00:00:00.205

Rows selected: 839

Ln 9, Col 38

3. **Top 5 Products by Rating** – Found products with the highest average review ratings.

```
11 --Q3. which are the top 5 products with the highest review rating?
12 select item_purchased, ROUND(AVG(review_rating::numeric),2) as "Average Product Rating"
13 from customer
14 group by item_purchased
15 order by avg(review_rating) desc
16 limit 5
17
```

Data Output Messages Notifications

	item_purchased text	Average Product Rating numeric
1	Gloves	3.86
2	Sandals	3.84
3	Boots	3.82
4	Hat	3.80
5	Skirt	3.78

4. **Shipping Type Comparison** – Compared average purchase amounts between Standard and Express shipping.

```
18 --Q4. Compare the average purchase amounts between standard and Express Shipping
19
20 select shipping_type,
21 ROUND(AVG(purchase_amount),2) as "purchase"
22 from customer
23 where shipping_type in ('Standard','Express')
24 group by shipping_type
25
```

Data Output Messages Notifications

	shipping_type text	purchase numeric
1	Standard	58.46
2	Express	60.48

5. **Subscribers vs. Non-Subscribers** – Compared average spend and total revenue across subscription status.

```
29 select subscription_status,  
30 COUNT(customer_id) as total_customers,  
31 ROUND(AVG(purchase_amount),2) as average_spend,  
32 ROUND(SUM(purchase_amount),2) as total_revenue  
33 from customer  
34 group by subscription_status  
35 order by total_revenue,average_spend desc  
36
```

Data Output Messages Notifications



	subscription_status text	total_customers bigint	average_spend numeric	total_revenue numeric
1	Yes	1053	59.49	62645.00
2	No	2847	59.87	170436.00

6. **Discount-Dependent Products** – Identified 5 products with the highest percentage of discounted purchases.

```
39 select item_purchased,  
40 ROUND(100*SUM(CASE WHEN discount_applied = 'Yes' then 1 else 0 END)/COUNT(*),2) as discount_rate  
41 from customer  
42 group by item_purchased  
43 order by discount_rate desc  
44 limit 5  
45
```

Data Output Messages Notifications



	item_purchased text	discount_rate numeric
1	Hat	50.00
2	Sneakers	49.00
3	Coat	49.00
4	Sweater	48.00
5	Pants	47.00

7. **Customer Segmentation** – Classified customers into New, Returning, and Loyal segments based on purchase history.

```

49 with customer_type as(
50 select customer_id, previous_purchases,
51 CASE
52     WHEN previous_purchases = 1 THEN 'New'
53     WHEN previous_purchases BETWEEN 2 AND 10 THEN 'Returning'
54     ELSE 'Loyal'
55 END AS customer_segment
56 from customer
57 )
58 select customer_segment, count(*) as "Number of Customers"
59 from customer_type
60 group by customer_segment
61

```

	customer_segment text	Number of Customers bigint
1	Loyal	3116
2	New	83
3	Returning	701

8. **Top 3 Products per Category** – Listed the most purchased products within each category.

	item_rank bigint	category text	item_purchased text	totalOrders bigint
1	1	Accessories	Jewelry	171
2	2	Accessories	Sunglasses	161
3	3	Accessories	Belt	161
4	1	Clothing	Blouse	171
5	2	Clothing	Pants	171
6	3	Clothing	Shirt	169
7	1	Footwear	Sandals	160
8	2	Footwear	Shoes	150
9	3	Footwear	Sneakers	145
10	1	Outerwear	Jacket	163
11	2	Outerwear	Coat	161

9. **Repeat Buyers & Subscriptions** – Checked whether customers with >5 purchases are more likely to subscribe.

```
79 select subscription_status,  
80 count(customer_id) as repeat_buyers  
81 from customer  
82 where previous_purchases > 5  
83 group by subscription_status  
84
```

	subscription_status	repeat_buyers
	text	bigint
1	No	2518
2	Yes	958

10. **Revenue by Age Group** – Calculated total revenue contribution of each age group.

```
87 select age_group,  
88 SUM(purchase_amount) as total_revenue  
89 from customer  
90 group by age_group  
91 order by total_revenue desc  
92
```

	age_group	total_revenue
	text	numeric
1	Young Adult	62143
2	Middle-Aged	59197
3	Adult	55978
4	Senior	55763

5. Dashboard in Power BI

Finally, we built an interactive dashboard in **Power BI** to present insights visually.



6. Business Recommendations

- **Boost Subscriptions** – Promote exclusive benefits for subscribers.
- **Customer Loyalty Programs** – Reward repeat buyers to move them into the “Loyal” segment.
- **Review Discount Policy** – Balance sales boosts with margin control.
- **Product Positioning** – Highlight top-rated and best-selling products in campaigns.
- **Targeted Marketing** – Focus efforts on high-revenue age groups and express-shipping users.